Conditions of Contract

Riverside Community Clinic, Block B (fictional practice project)

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1. Definitions

1.1 "Employer" means Riverside Health Trust. "Contractor" means the party whose tender has been accepted.

1.2 "Works" means the construction of Block B, a two-storey RCC framed clinic building of approximately 1,450 m2 built-up area, including foundations, superstructure, finishes and external works.

1.3 "Specification" means the Technical Specification issued with the tender. "BOQ" means the priced Bill of Quantities.

2. Order of Precedence

2.1 The documents forming the Contract shall be read together. In case of conflict, the order of precedence shall be: (a) Contract Agreement, (b) these Conditions of Contract, (c) Technical Specification, (d) Drawings, (e) Bill of Quantities.

3. Contract Price

3.1 The Contract Price is a re-measurement contract based on the rates in the BOQ. Quantities in the BOQ are estimated and shall be measured on completion of each item.

4. Time for Completion

4.1 The Contractor shall commence the Works within 14 days of the Letter of Acceptance.

4.2 The Time for Completion of the whole of the Works shall be 12 (twelve) months from the Commencement Date.

4.3 The Contractor shall submit a detailed programme within 21 days of the Commencement Date.

5. Liquidated Damages

5.1 If the Contractor fails to complete the Works within the Time for Completion, the Contractor shall pay liquidated damages at the rate of 0.1% of the Contract Price per day of delay.

5.2 The maximum amount of liquidated damages shall not exceed 10% of the Contract Price.

6. Payment and Retention

6.1 Interim payments shall be made monthly against certified measurements.

6.2 Retention money at the rate of 5% shall be deducted from each interim payment, up to a limit of 5% of the Contract Price.

6.3 Half of the retention money shall be released on issue of the Taking-Over Certificate and the balance on expiry of the Defects Liability Period.

7. Defects Liability Period

7.1 The Defects Liability Period shall be 12 months from the date of the Taking-Over Certificate.

7.2 The Contractor shall make good any defect notified during this period at its own cost within 14 days of notice.

8. Performance Security

8.1 The Contractor shall provide a performance security of 10% of the Contract Price within 28 days of the Letter of Acceptance, valid until the end of the Defects Liability Period.

9. Variations

9.1 The Engineer may instruct variations at any time before the Taking-Over Certificate. Variations shall be valued at BOQ rates where applicable, otherwise at rates agreed with the Engineer.

10. Insurance

10.1 The Contractor shall insure the Works for their full replacement value and maintain third-party liability insurance of not less than 5,000,000 per occurrence.

11. Health and Safety

11.1 The Contractor shall appoint a full-time safety officer and comply with all applicable safety regulations. All workers shall wear personal protective equipment on site.

12. Disputes

12.1 Disputes shall first be referred to the Engineer. If unresolved within 28 days, they shall be referred to arbitration under the applicable arbitration law.